

What is the mandate of the current fund?

Basically, I can do anything that I like. I will still have material exposure in emerging markets, but the point is that I don't have to be in emerging markets. I'm also trying to get away from that tyranny in hedge funds: monthly performance. Previously, a large percentage of my clients were fund of funds who were driven by monthly data because a large percentage of their clients were driven by monthly data. You end up in this situation where you are obsessed with monthly returns, which can influence poor long-term investment decisions, even though it might make monthly returns look better.

In the new fund, we will still report monthly returns to clients, but instead of having a monthly newsletter, we will go to a quarterly newsletter. I am trying to stop caring about what my clients think. I want to continue to invest money the same way but have the freedom to take a longer view. For example, during the past two months, the performance of my core positions has just been awful—the market has gone up and they have gone down. But I feel I have the freedom to maintain a long-term investment focus rather than being overly concerned about the monthly relative performance.

Out of curiosity, what are these currently poor performing core positions?

My biggest position is Apple. The reason I like Apple is that it is a company that is almost solely analyzed by U.S. analysts who think that Apple has limited growth potential because of the large market share it already has in the U.S. They fail to appreciate that only 300 million people live in the U.S., and there are 6.7 billion people in the rest of the world. The market in which Apple has the highest approval rating is China, which is a market with 900 million mobile phone subscribers. And currently, how many iPhones have been sold in China? Three million. Their unique operating system and excellent hardware give Apple a barriers-to-entry advantage relative to their competitors. I believe over the next four years, Apple will inevitably repeat the success it has had in the U.S. on a global scale.